Absorbing Transition DID Results: AKM Violation Bad — Upgrade

| | Any Failure | | Restatement | | Violation | |
|---|---|---|---|---|---|---|
| | Pooled | Mandatory / Voluntary | Pooled | Mandatory / Voluntary | Pooled | Mandatory / Voluntary |
| **Panel A: Absorbing DID: Trim** | | | | | | |
| × Mandatory Rotation | | 0.056** | | 0.024 | | 0.054*** |
| | | (0.024) | | (0.017) | | (0.021) |
| × Voluntary Rotation | | 0.078*** | | 0.021*** | | 0.081*** |
| | | (0.009) | | (0.006) | | (0.008) |
| Pooled | 0.075*** | | 0.019*** | | 0.075*** | |
| | (0.007) | | (0.004) | | (0.006) | |
| Mandatory − Voluntary | | -0.022 | | 0.003 | | -0.026 |
| Difference p-value | | 0.384 | | 0.853 | | 0.246 |
| Observations | 42,873 | 37,107 | 42,873 | 37,107 | 42,873 | 37,107 |
| Firms | 5,258 | 4,907 | 5,258 | 4,907 | 5,258 | 4,907 |
| **Panel B: Absorbing DID: Strict** | | | | | | |
| × Mandatory Rotation | | 0.103** | | 0.039 | | 0.092** |
| | | (0.046) | | (0.027) | | (0.043) |
| × Voluntary Rotation | | 0.111*** | | 0.030*** | | 0.107*** |
| | | (0.016) | | (0.010) | | (0.015) |
| Pooled | 0.118*** | | 0.034*** | | 0.110*** | |
| | (0.015) | | (0.010) | | (0.014) | |
| Mandatory − Voluntary | | -0.008 | | 0.009 | | -0.015 |
| Difference p-value | | 0.865 | | 0.760 | | 0.744 |
| Observations | 27,179 | 25,524 | 27,179 | 25,524 | 27,179 | 25,524 |
| Firms | 3,165 | 3,141 | 3,165 | 3,141 | 3,165 | 3,141 |
| **Panel C: Fixed-Window DID: 2-Year Window** | | | | | | |
| × Mandatory Rotation | | 0.063*** | | 0.027* | | 0.063*** |
| | | (0.020) | | (0.016) | | (0.016) |
| × Voluntary Rotation | | 0.059*** | | 0.014*** | | 0.062*** |
| | | (0.006) | | (0.004) | | (0.006) |
| Pooled | 0.065*** | | 0.016*** | | 0.064*** | |
| | (0.005) | | (0.003) | | (0.004) | |
| Mandatory − Voluntary | | 0.004 | | 0.013 | | 0.002 |
| Difference p-value | | 0.851 | | 0.419 | | 0.926 |
| Observations | 47,431 | 41,099 | 47,431 | 41,099 | 47,431 | 41,099 |
| Firms | 5,521 | 5,228 | 5,521 | 5,228 | 5,521 | 5,228 |
| **Panel D: Fixed-Window DID: 3-Year Window** | | | | | | |
| × Mandatory Rotation | | 0.056*** | | 0.026* | | 0.059*** |
| | | (0.018) | | (0.014) | | (0.015) |
| × Voluntary Rotation | | 0.065*** | | 0.014*** | | 0.070*** |
| | | (0.006) | | (0.004) | | (0.006) |
| Pooled | 0.067*** | | 0.016*** | | 0.068*** | |
| | (0.005) | | (0.003) | | (0.004) | |
| Mandatory − Voluntary | | -0.009 | | 0.012 | | -0.010 |
| Difference p-value | | 0.635 | | 0.403 | | 0.534 |
| Observations | 49,256 | 42,782 | 49,256 | 42,782 | 49,256 | 42,782 |
| Firms | 5,521 | 5,270 | 5,521 | 5,270 | 5,521 | 5,270 |
| Controls | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Year FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Audit Firm FE | No | No | No | No | No | No |
| Sample years | Full | 2004 onward | Full | 2004 onward | Full | 2004 onward |

*Notes:* Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.